

**BRITAM INVESTOR BRIEFING
PRESENTATION
HALF YEAR 2014
GROUP FINANCIAL RESULTS**

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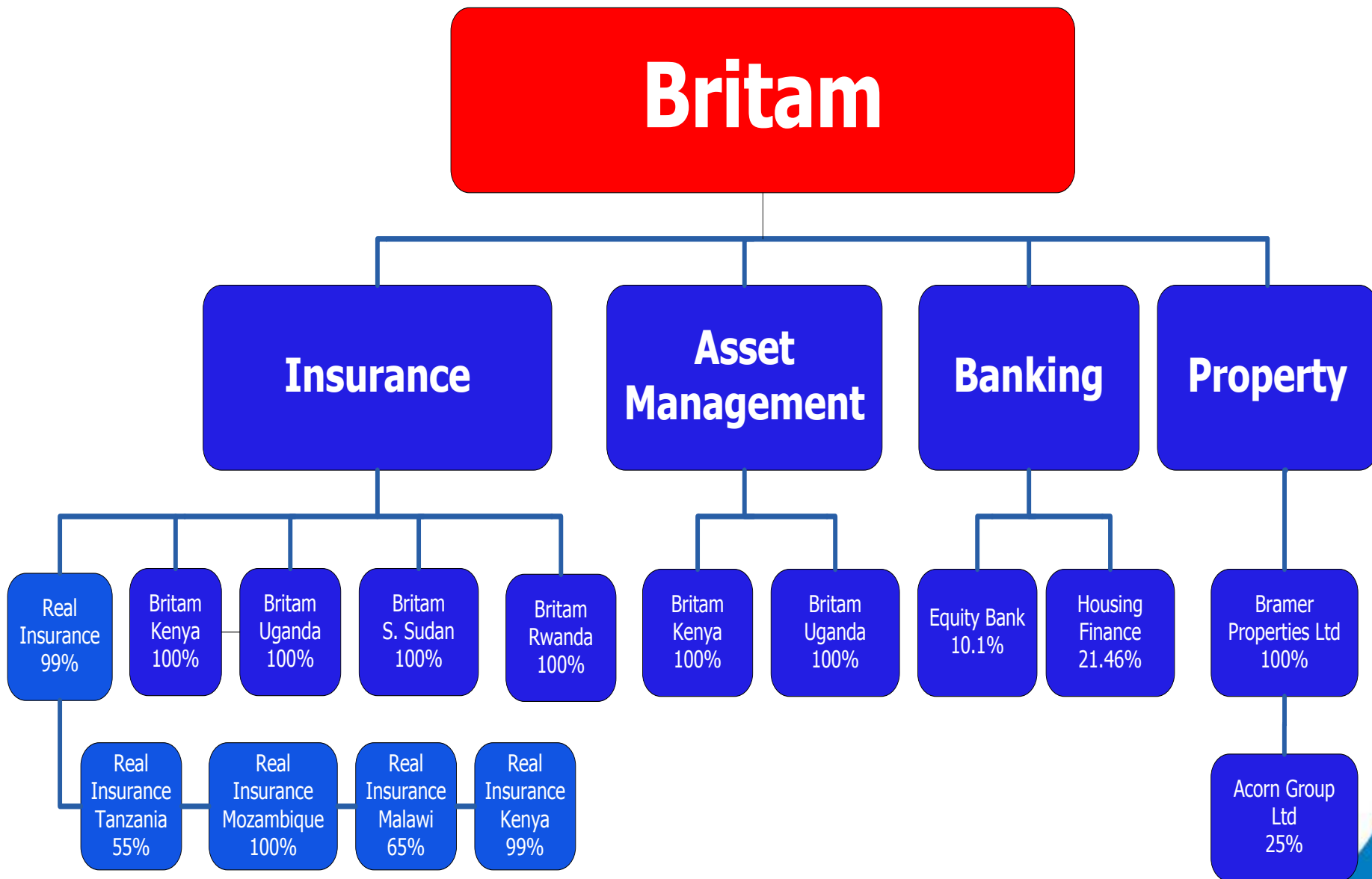
Welcome to Britam

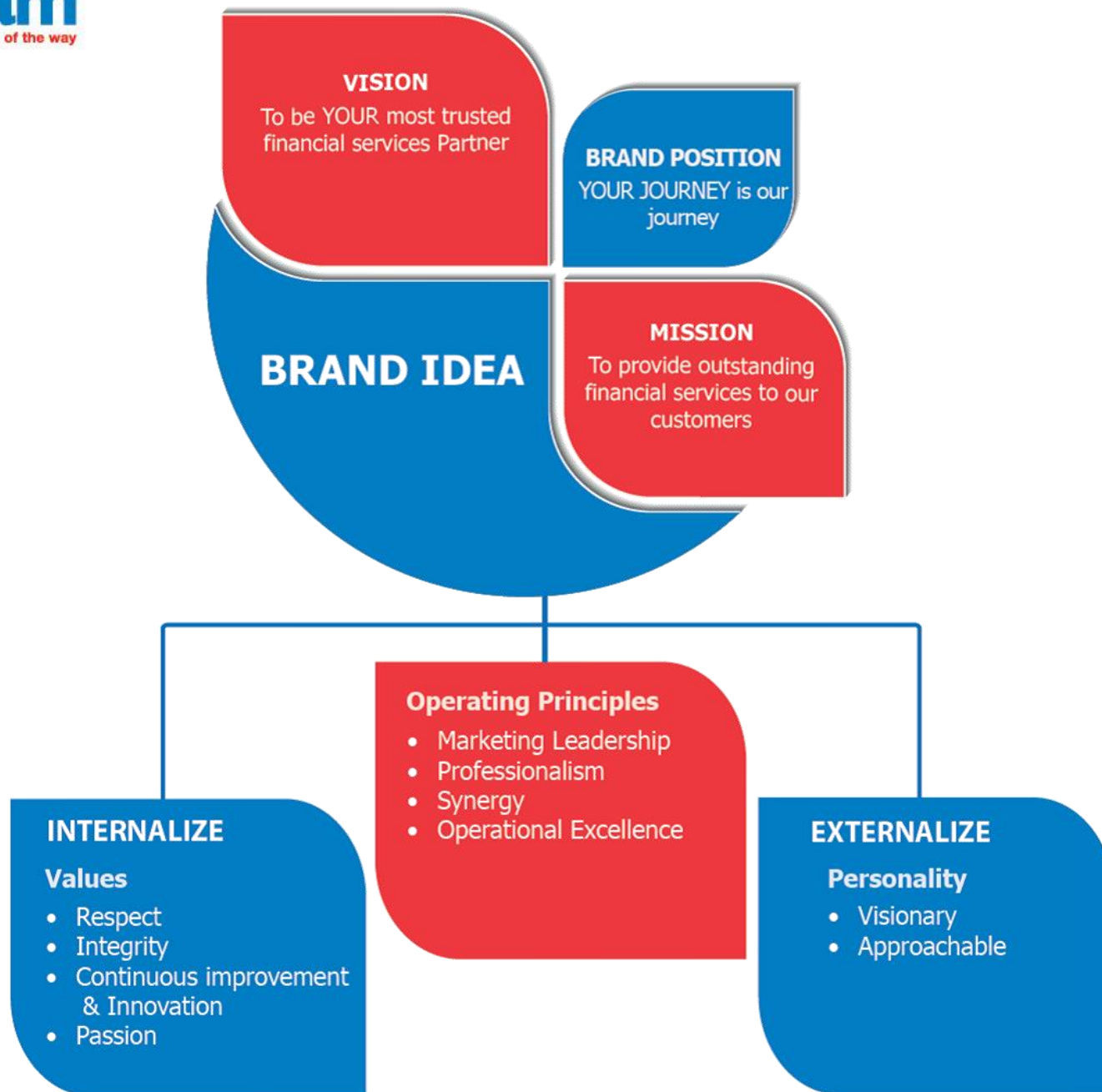
Britam is a leading ***diversified financial services group***, listed on the Nairobi Securities Exchange. The group has interests across the East African region and offers a wide range of financial products and services in **Insurance, Asset Management, Banking** and **Property**.

The product range includes;

- life
- health
- general insurance
- pensions
- unit trusts
- investment planning
- wealth management
- off-shore investments
- retirement planning
- discretionary portfolio management
- property development
- private equity.

Our Group Structure





Our Journey so far: 1965-1995

49 years of achieving and sustaining excellence

1965 - 1995

1965

**British-American Insurance Company Ltd
Bahamas established as a branch in Kenya.**

1979

**British-American Insurance Company (Kenya) Ltd
was incorporated.**

1995

**British-American Investment Company (Kenya)
was incorporated.**



Our Journey so far: 2004-2010

49 years of achieving and sustaining excellence

2004 - 2010

British-American Asset management
Company was incorporated.

2004

2004

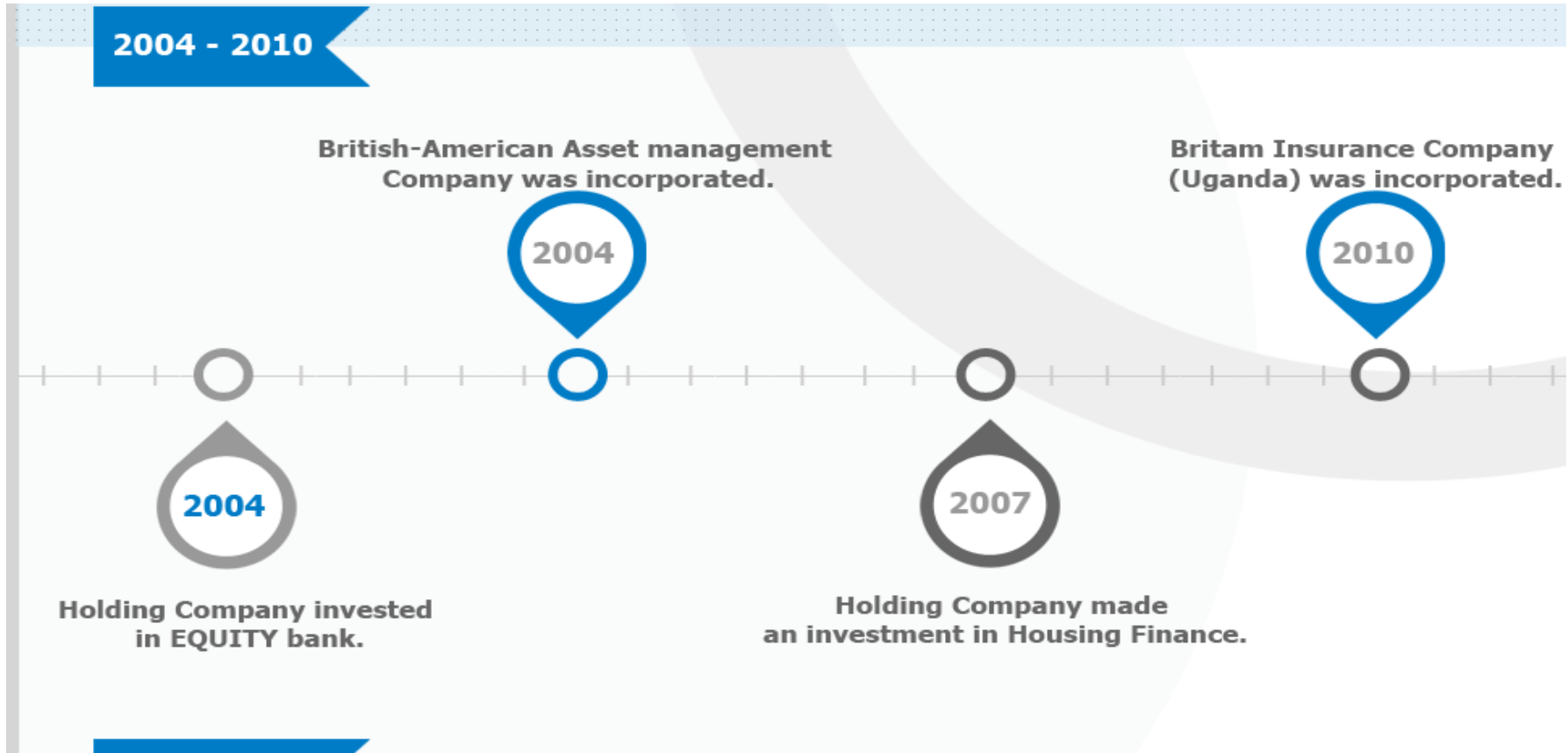
Holding Company invested
in EQUITY bank.

2007

Holding Company made
an investment in Housing Finance.

Britam Insurance Company
(Uganda) was incorporated.

2010



Our Journey so far: 2011-2014

49 years of achieving and sustaining excellence

2011 - 2014



2011

Britam was listed on the
Nairobi Securities Exchange.



2012

Britam Insurance Company
(South Sudan).



2013

Britam Insurance (Rwanda)
was incorporated.



2013

Britam entered into a
Strategic Partnership with
Acorn group.



2014

Britam acquired
REAL Insurance.

Our Footprint



Strategy Focus areas



Our Business Leaders



Stephen O. Wandera
• Regional Director, Insurance



Dr. Benson I. Wairegi EBS
• Group Managing Director



Edwin H. Dande
• Managing Director, Asset Management



John K. Githinji
• Chief Executive Officer, Britam South Sudan



Reuben Kibiru
• Chief Executive Officer, Britam Rwanda



Allan Mafabi
• Chief Executive Officer, Britam Uganda



Kennedy Aosa
• General Manager Insurance



Charles Muyodi
• General Manager, Bancassurance & Microinsurance



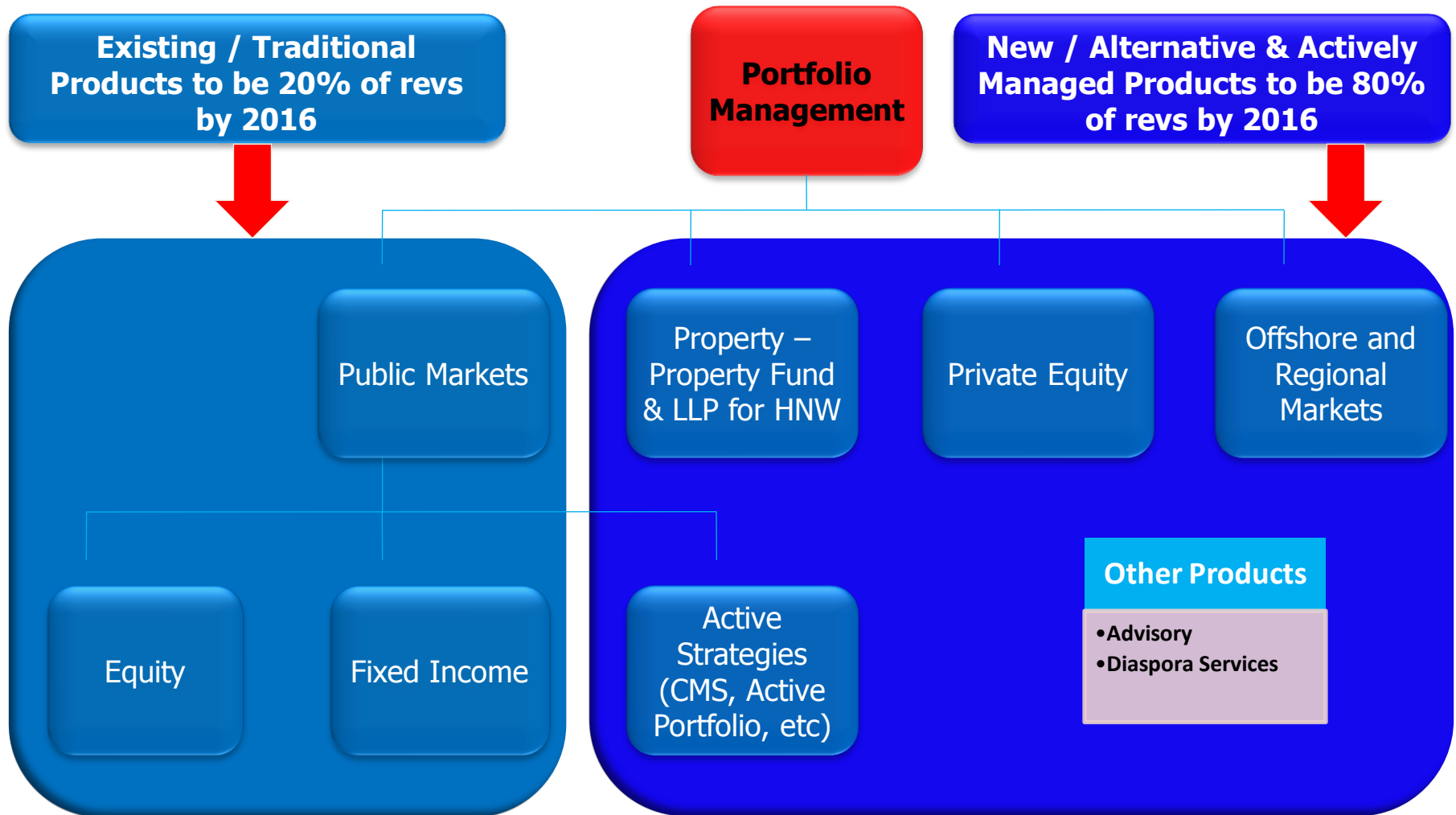
Ambrose Dabani
• General Manager, Life & Pension

Corporate Leadership



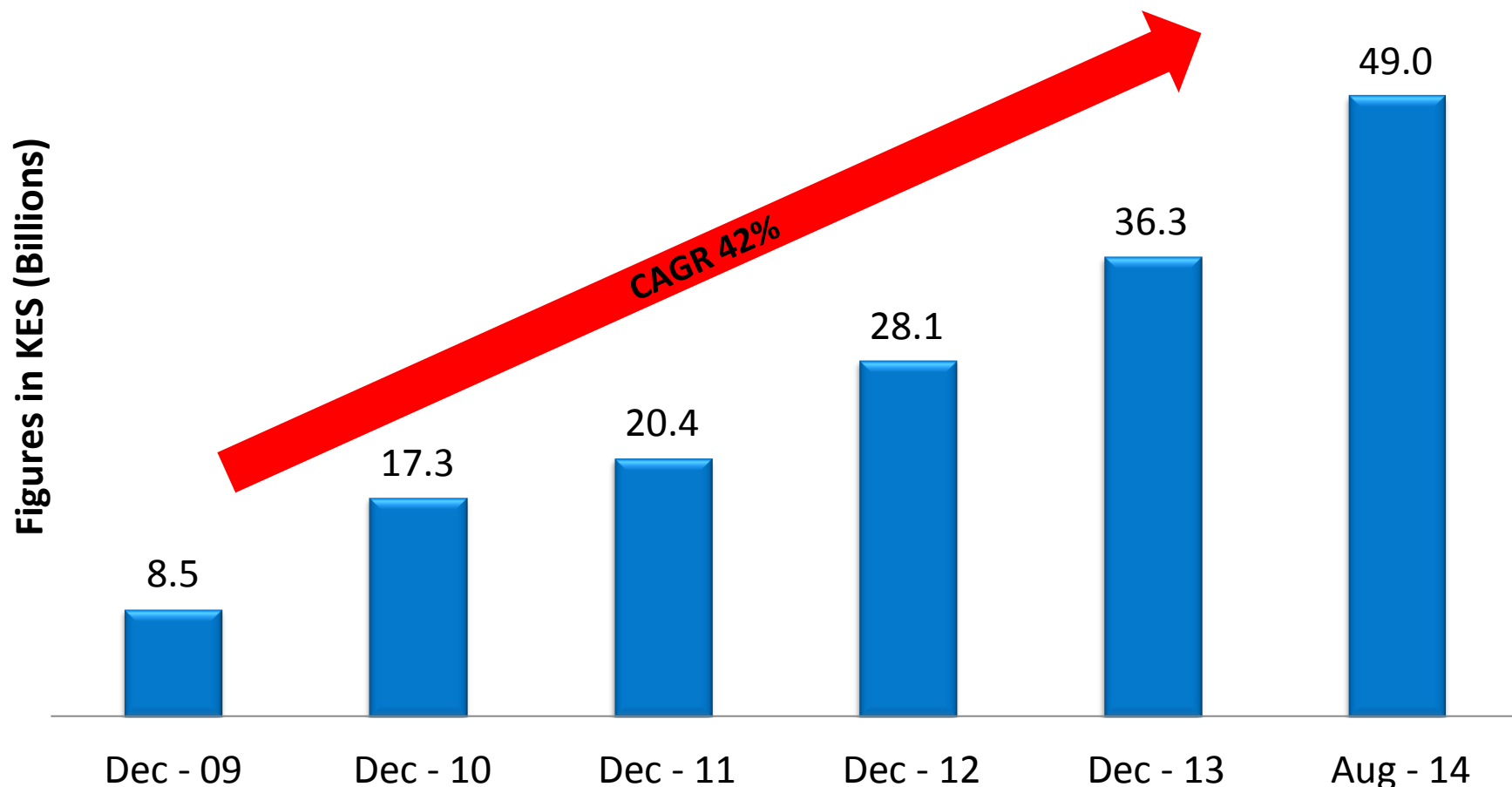
“experienced, dynamic and cohesive leadership team and staff”

Asset Management business performance



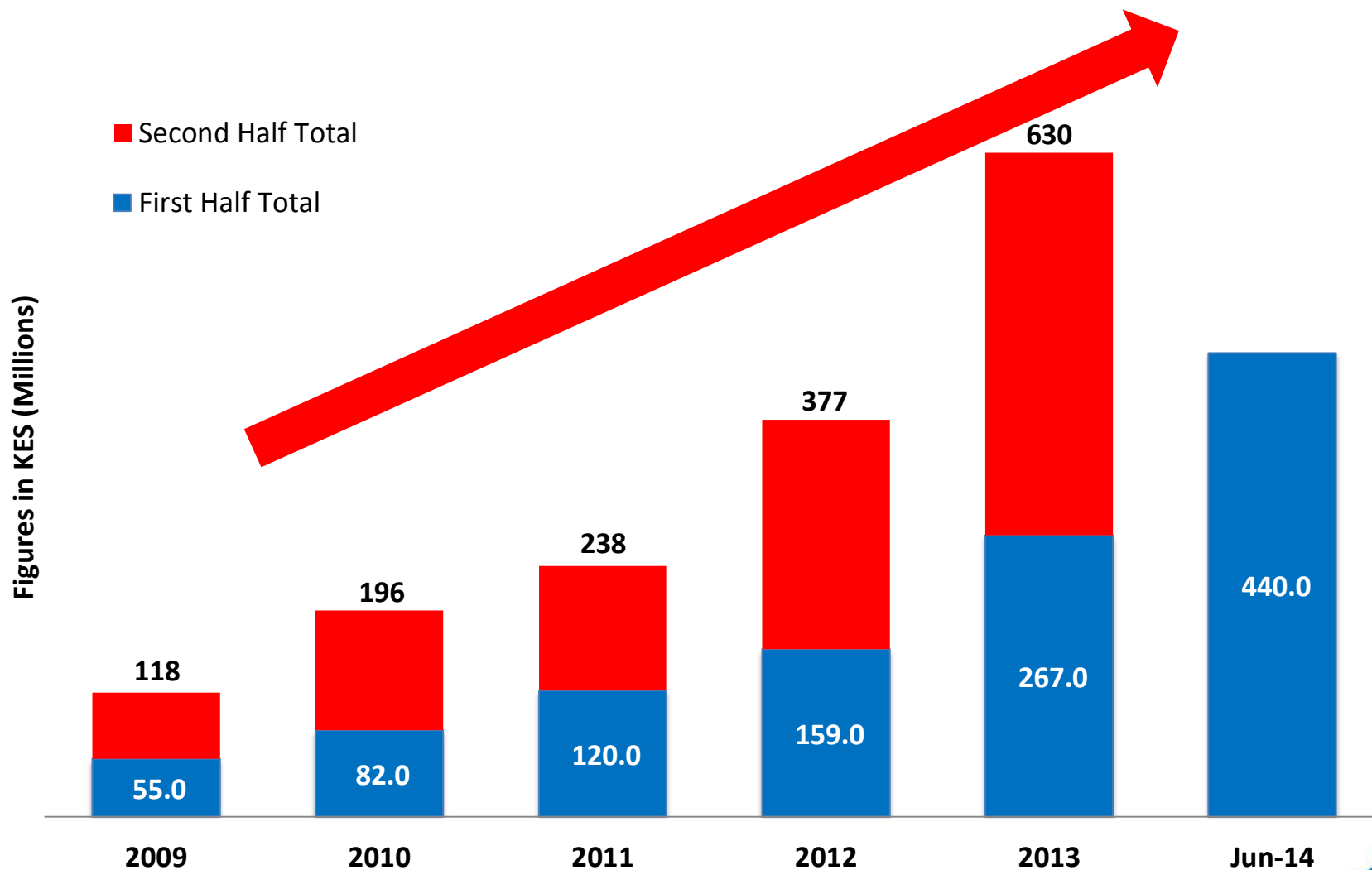
GROWTH IN AUM

There has been steady growth in AUM – currently managing KES 49 Bn



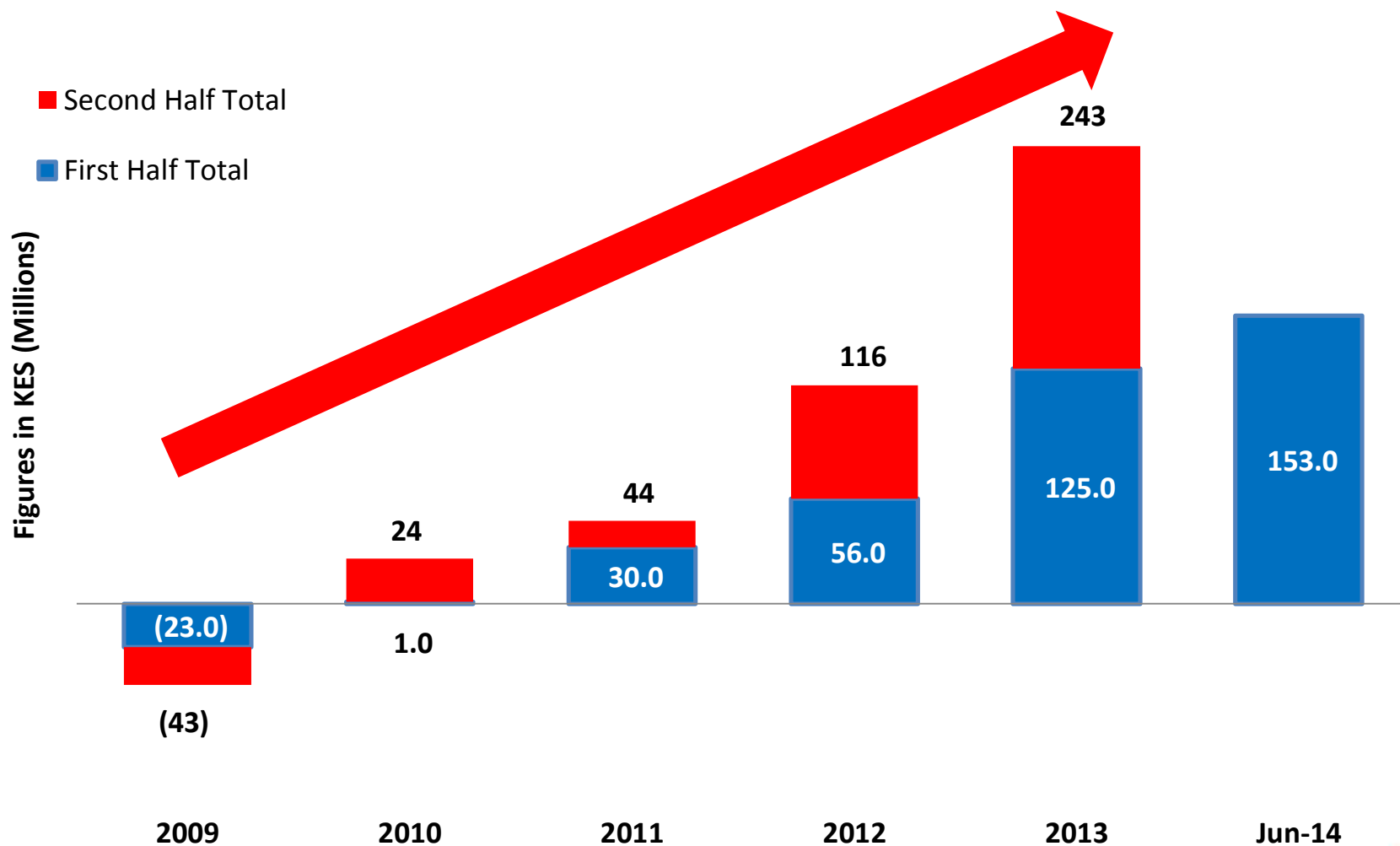
REVENUE GROWTH

Asset Management revenues grew by 65% from June 2013



PROFITABILITY GROWTH

Asset Management PBT grew by 22% from June 2013



Britam Asset Management Company has continued to **grow** and it has enhanced its operating platform. The product base has been expanded and the company launched new products in 2014.

The company will continue to ensure that the **customers' returns are maximized** while ensuring excellent customer service.

Insurance business performance

Overall Insurance revenues **growth** rate at **27%** from 4.4b in 2013 to **4.4b** in 2014

Insurance Business Revenues 5.6 billion – 93% of total revenue

Kenyan Business 89% of Revenues at 5.3b

General Business 36% : 2.2b

Medical 7%: 430m

Other GB 29%: 1.8b

Ordinary Life 40% 2.4b

Group Life 13% 747m

Unit Linked :525m

DA: 1.1b

Life Business 53%: 3.1b

Regional Business 4% Revenues 263m (June 2013:118 million)

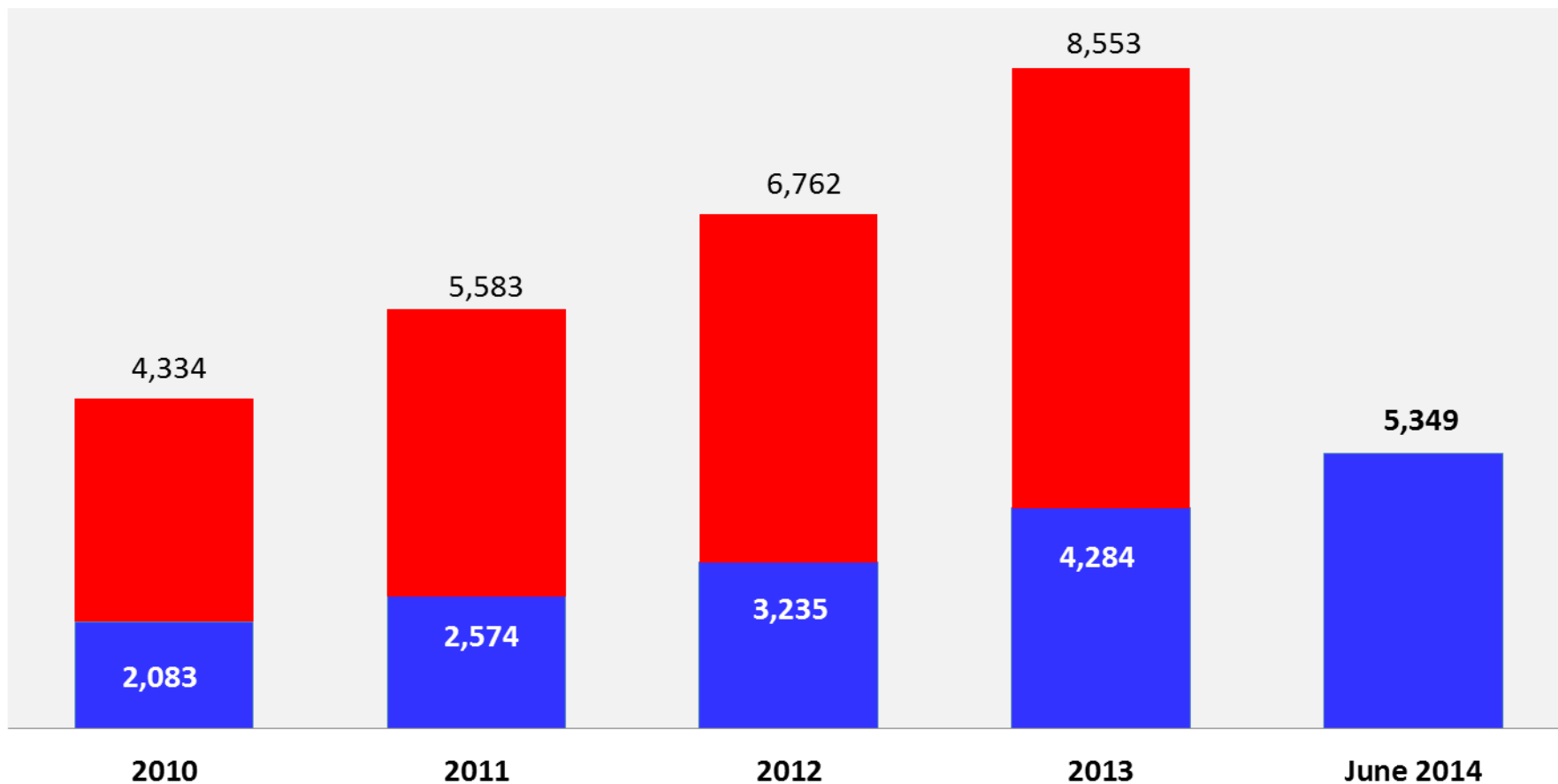
Britam Uganda 2%: 125m

Britam S.S 2%: 116m

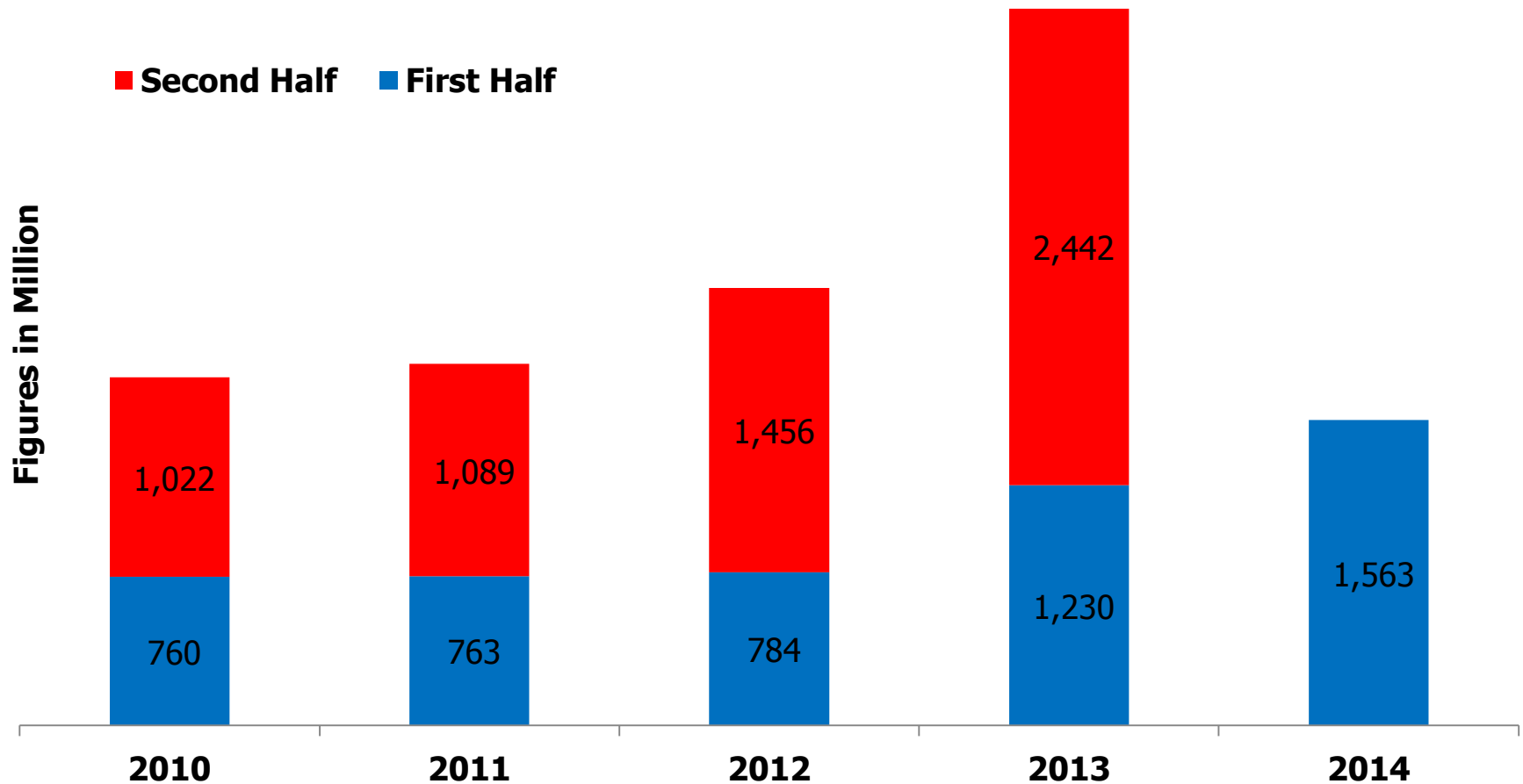
Britam Rwanda 0%: 22m

Insurance Earned Revenue **grew** by **25%**

Gross Earned Revenues



Insurance Business profitability **grew** by **27%**



Insurance growth drivers

- Ordinary life revenues grew by 27% from Shs 1.9b to Shs 2.4b
- Microinsurance & Bancassurance grew by 58% from Shs 686m to Shs 1082m
- General Insurance conventional products grew by 30% from Shs 641m to Shs 835m
- Britam Uganda revenues grew by 63%
- South Sudan revenues grew by 183%

Embedded Value

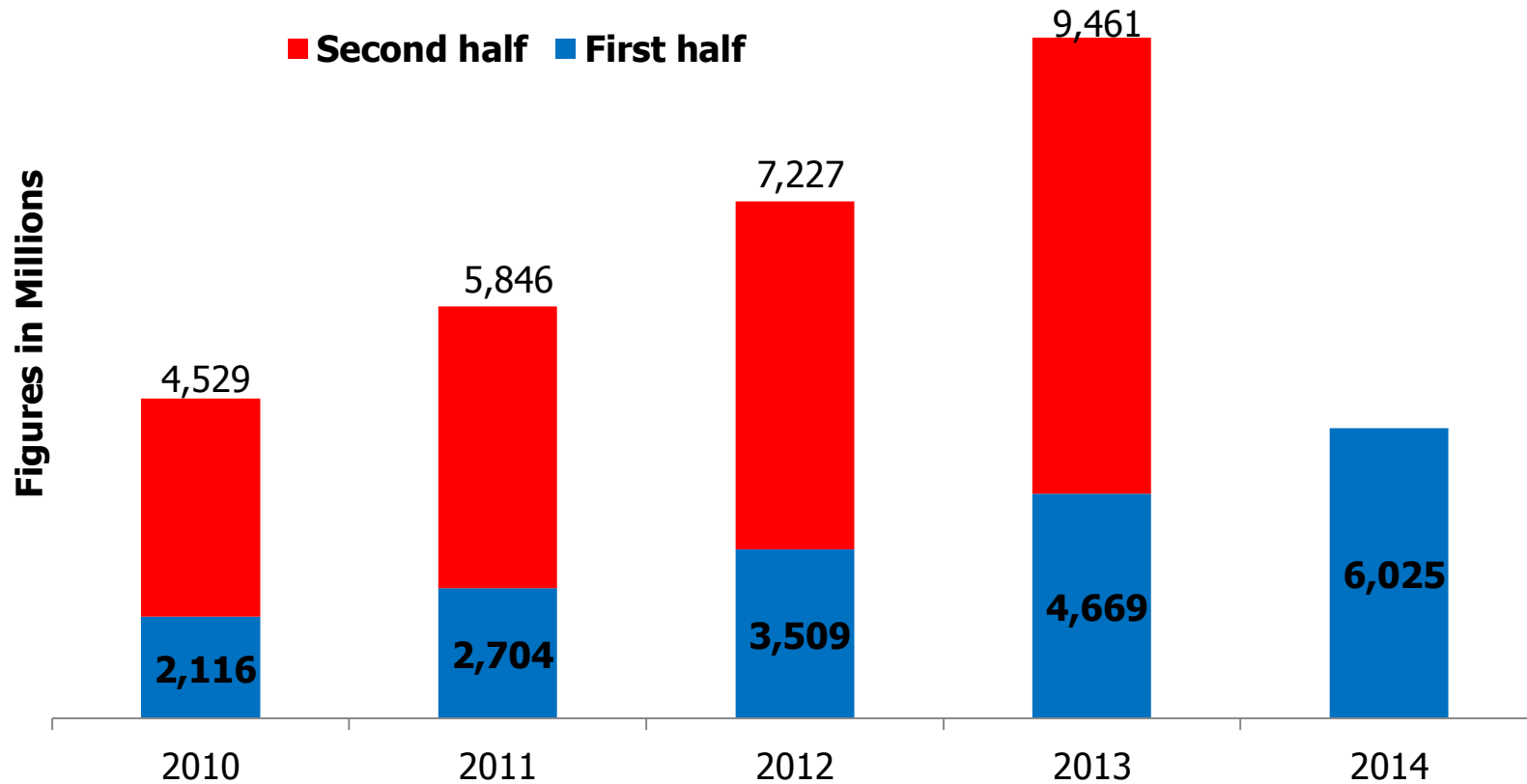
Long-Term Business	2014	2013	Increase
	KShs 000s	KShs 000s	(%)
*Adjusted Net worth :	7,924,623	5,904,972	34%
Present Value of Inforce :	4, 316,448	3, 542,781	22%
Cost of Required Capital :	(316,894)	(285, 280)	11%
Cost of Restriction on Surplus :	(2, 538, 318)	(1,865,566)	36 %
*Embedded Value :	9,385, 859	7,296,907	28.6%

Group Financial Performance

Revenues grew by 29%, PBT by 32 %

Shs' million	June 2014	June 2013	% change
Gross Revenue	6,025	4,669	29%
Earned Income	5,441	4,092	33%
Investment income	4,648	3,745	24%
Other Income	154	150	3%
Total Income	10,243	7,986	28%
Net Claims payable	(3,599)	(2,497)	44%
Interest/unit gain	(861)	(1,178)	-27%
Commission payable	(1,094)	(888)	23%
Operating expenses	(1,833)	(1,229)	49%
Associate's Profit share	153	86	77%
Profit before tax	3,010	2,280	32%
Profit after tax	2,746	2,158	27%
Comp. Income	6,066	3,677	65%

Revenue **Grew** by **29%** from June 2013



Revenue Growth by 29%

- **22%** Growth in Life business revenue

(From Shs 2,592 million in June 2013 to Shs 3,158 million in June 2014)

- **29%** Growth in general business revenue

(From Shs 1,692 million in June 2013 to Shs 2,190 million in June 2014)

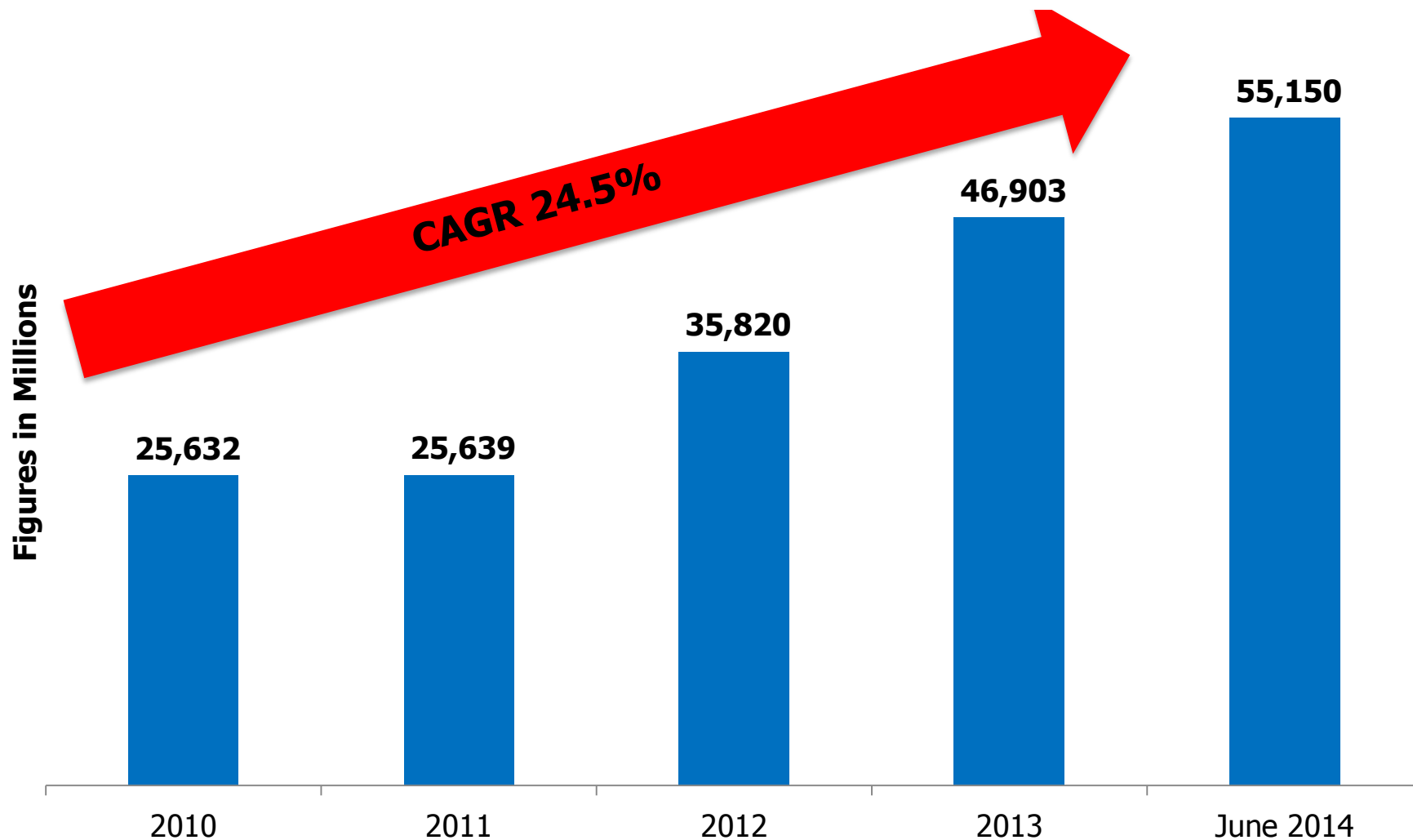
- **54%** Growth in Asset management revenue

(From Shs 268 million in June 2013 to Shs 414 million in June 2014)

Group Balance Sheet

Shs' million	June 2014	June 2013	% change
Share capital/share premium	3,353	3,353	0
Other reserves	13,643	8,094	69
Retained earnings	5,531	5,059	9
Shareholders' Funds	22,527	16,506	36
Total assets	55,150	42,973	28
Total liabilities	(32,623)	(26,467)	23
Net Assets	22,527	16,506	36

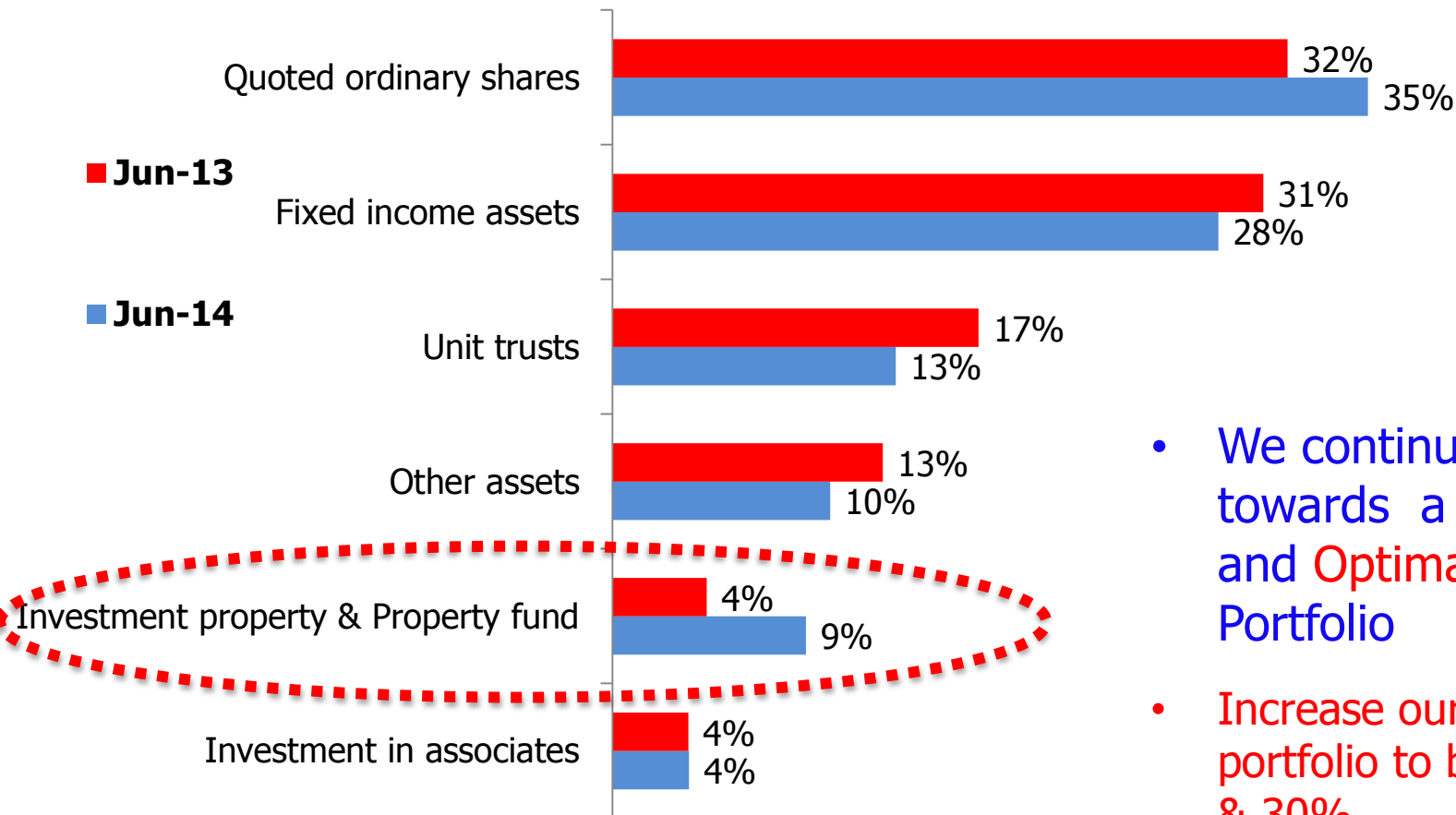
Total Assets YTD at Shs 55.1b – 28% growth in 2014



Key Group Numbers

	June 2014	June 2013	% Increase
ROE for OCI	36%	29%	6%
ROE for PAT	16%	17%	-1%
Total Assets	55,151M	42,973M	28%
AUM	41,476M	32,677M	27%

Investment in property has **grown** to **9%** of our total asset portfolio from 4% in June 2013



- We continue to invest towards a **Diversified and Optimal Asset Portfolio**
- Increase our property portfolio to between 20% & 30%

- The equities portfolio grew due to rise in share prices of the equities in the portfolio

WRAP UP

OUR CSR ACTIVITIES



“ As we **grow our business**, we continue to engage communities in line with our corporate conviction to **transform lives**.

Our Community Initiatives

- Britam donated Kshs 10 million to support the “Beyond Zero Campaign”



Britam presented bags to children who had participated in the annual National Environmental Competition, 2014 to mark the world environmental day.



Britam donated Ksh 600,000 to Anglican Church of Kenya, to support a marathon by the Diocesan Synod of Nairobi.



Britam donated assorted furniture to Kigumo Girls School



Our Accolades



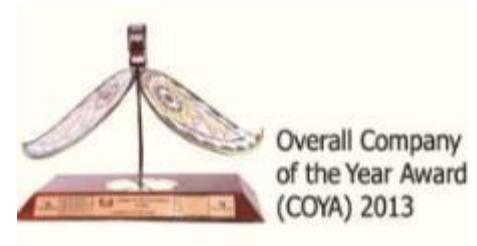
- CEO Of the Year 2013 – COYA
- Dr. Benson Wairegi receives Honorary Degree from Kenyatta University



Best Life Insurance Company in Kenya 2013-
World Finance



- Medical Underwriter of the Year
- Lifetime Achievement Award, Dr. Benson Wairegi



Fund manager of the year
Unit trust of the year



THANK YOU